

Executive Summary

South Asia's growth again surprised on the upside but is expected to slow to 6.3 percent in 2026 amid headwinds from global energy market dislocations. Over the medium-term, trade reforms in South Asian countries could unlock further growth by reducing trade barriers, especially for emerging export sectors. Across South Asia, accelerating job creation is becoming harder as job prospects erode in AI-exposed activities and long-standing subnational labor market disparities persist. To achieve policy goals, South Asian countries make proactive use of industrial policies, at about twice the rate of other emerging market and developing economies (EMDEs). Since 2022, about half of South Asia's industrial policies have been directed at the manufacturing sector, particularly toward activities with larger employment, higher average wages, or larger or more productive firms. More than other EMDEs, South Asia has deployed trade-related industrial policy measures but their track record in South Asia has been mixed, with import restrictions lowering imports significantly but export support not materially raising exports. Given limited fiscal space and administrative capacity, cross-cutting measures to improve infrastructure, skilling opportunities, and the business environment remain a priority to accelerate and spread growth and jobs more evenly. These can be complemented by targeted industrial policies, prioritizing those that address market failures directly.

Chapter 1. Restoring Growth Momentum amid Energy Market Disruptions. South Asia's economic growth is expected to slow to 6.3 percent in 2026 amid dislocations in global energy markets. South Asia remains the fastest-growing EMDE region thanks to the strength of India's economy. The rest of the region is expected to grow at a pace comparable to other EMDEs. South Asia's growth prospects could be dampened by more persistent global energy market dislocations or a bout of global financial turbulence transmitted to the region and magnified by domestic weaknesses; by adverse spillovers from the adoption of artificial intelligence in major export markets; and by reform delays. Accelerating growth and job creation remains a major challenge for South Asian policymakers. Carefully designed industrial policy can turn cities into powerful growth accelerators or promote tourism to spread growth more broadly, especially if these policies are combined with broad-based reforms to promote firms' growth.

Box 1.1. Where Households Gain: Trade Reforms in South Asia. India's free trade agreements with the European Union and the United Kingdom, as well as Sri Lanka's planned phase-out of para-tariffs, are expected to remove trade barriers, especially for emerging export sectors. The reforms are anticipated to result in broad-based consumption and real income gains for households across the entire income distribution. The largest benefits are expected for

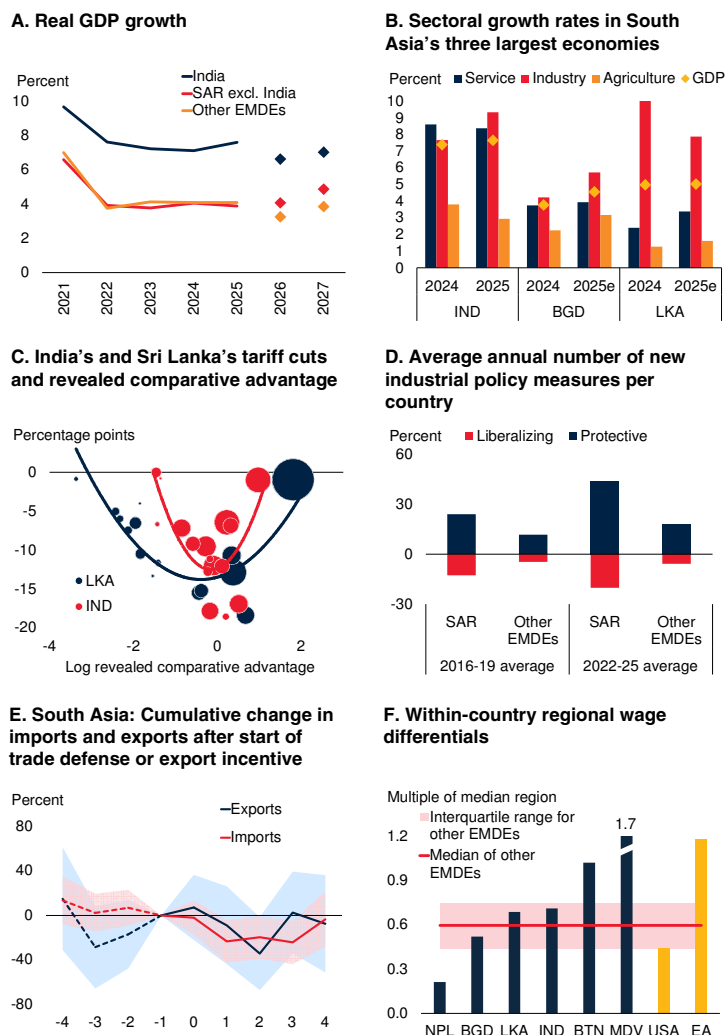
consumers of manufactured goods, especially among rural households.

In addition to this assessment of the economic outlook, this edition examines the role of industrial policies in South Asia's policy making, including for two potential use cases: to adapt to labor market disruptions caused by the adoption of artificial intelligence and to narrow regional labor market differentials.

Chapter 2. Where Policy Lands: Industrial Policy and Jobs in South Asia. On average during 2022–25, South Asian countries implemented twice as many industrial policies as the average EMDE. About half of these policies have been aimed at manufacturing. Among the policies targeted at manufacturing, Sri Lanka's focused on high-employment activities, Bangladesh's on large firms, and India's on high-wage activities and on large, more productive firms. While the activities with the most industrial policy measures have been the largest source of manufacturing employment growth, they have not been the main source of non-agricultural employment growth. The main source of non-agricultural employment growth has been the service sector, which has received few industrial policies. Compared with other EMDEs, South Asia has relied less on subsidies and more on procurement measures (India) and trade-related measures (elsewhere in South Asia). The latter have had asymmetric impacts in South Asia: import-restricting policies were followed by

FIGURE O Working with Industrial Policy

South Asia is expected to remain the fastest-growing EMDE region, in part thanks to new trade reforms. The region has proactively used industrial policies, especially for manufacturing, with mixed success. Industrial policies could help narrow regional wage premiums.



Sources: ADB Multiregional Input-Output Tables; Central Bank of Sri Lanka; CEPII BACI; Eurostat; GLD (database); GTA database; Haver Analytics; IPUMS USA: Version 16.0 (dataset); Maldives Household Income and Expenditure Survey 2019; MPO; Sri Lanka Customs National Import Tariff Guide 2025; WTO Analytical Database; World Bank.

A. GDP aggregates calculated using real U.S. dollar GDP weights and market exchange rates. Dots indicate forecasts. For India, fiscal years are used, such that 2025 represents FY2025/26.

B. For Sri Lanka and Bangladesh, the figure reflects the average growth for the first three quarters.

C. "Revealed comparative advantage," as in Balassa (1965), is defined as India's or Sri Lanka's export share relative to global average export shares across 16 goods-producing sectors. Positive log values indicate comparative advantages. Vertical axis reports the change in import-weighted average ad valorem duties applied. Bubble areas reflect sectoral export shares in 2024. Trend lines indicate the (unweighted) quadratic polynomial fit on the underlying data.

D. Bars show annual and country average number of new protective (blue) and liberalizing (red, negative) industrial policies implemented in South Asia and other EMDEs.

E. Impulse response function from a local projection estimation of cumulative changes in log imports or exports on a dummy variable for implementation of new trade defense policies (imports, red) or export incentives (exports, blue). $t = 0$ is first period after policy implementation. Estimation controls for the presence of other active industrial policies in the same country and two-digit ISIC sector. Country-sector, country-year, and sector-year fixed effects are included. Standard errors are clustered at country-sector level. The sample includes protective policies implemented during 2004–23 that were active for more than five years. Shaded regions indicate 90 percent confidence intervals. Trade defense instruments include anti-dumping, anti-subsidy, and other safeguards. Export incentives include export subsidies, export tax incentives, and other export incentives.

F. Red shade represents interquartile range, and red line shows median value for 22 EMDEs, including six EMDEs in South Asia. Bar for euro area shows the cross-country range of country-level average wages in 2024 in 12 euro area countries whose populations aged 15+ years account for more than 1 percent of the euro area population aged 15+ years. Bar for United States shows the cross-state region of state-level average wages in 2024 in 29 U.S. states whose populations aged 15+ years account for more than 1 percent of the U.S. population aged 15+ years.

statistically significant declines in imports, but export-supporting measures did not produce significant gains in exports. Constrained by limited fiscal space and regulatory capacity, South Asia can focus on broad-based development policies such as infrastructure investment, business environment reforms, and stronger institutions. Where more targeted measures are needed, industrial policy can prioritize those that address clear market failures, such as industrial parks, skill development programs, market access assistance, and quality assurance infrastructure.

Box 2.1. Where Firms Hire: AI and the Reshaping of Global Value Chains. Artificial intelligence (AI) is already reshaping firms and jobs in South Asia. AI adoption has proceeded rapidly since the release of ChatGPT in November 2022, particularly among affiliates of multinational companies. At the same time, higher AI exposure has been associated with slower hiring: an interquartile-range increase in AI exposure has been associated with a 1.5 percent decline in job postings on average, and with declines of about twice that size for multinational affiliates. Some of these declines appear to be related to spillovers from AI adoption by foreign firms: South Asian firms supplying goods and services to more AI-exposed foreign firms have experienced slower hiring. Value chain upgrading, underpinned by faster AI adoption and skills development, will be critical for firms to remain competitive in the age of AI.

Box 2.2. Where Jobs Pay: Labor Market Differentials in South Asia. South Asia has some of the largest and some of the smallest within-country wage differentials by the standards of EMDEs. In South Asia's larger countries, worker characteristics account for about one-fifth of these subnational wage differentials. South Asia's remaining wage premiums, after controlling for worker characteristics, are higher in regions with better transport connectivity, more skilled workforces, larger firms, and more services sector activity. Wage premiums appear to be persistent and self-reinforcing. While such regional wage persistence may warrant place-based or industrial policies, South Asia's experience with these policies has been mixed.